FY 2023/24 marked a year of exceptional performance for LB Finance PLC , characterised by the highest-ever profit after tax, significant expansion of our asset base, and strong portfolio quality. These achievements are a testament to our strategic approach, underpinned by a robust balance sheet that empowers us to invest in key growth opportunities. Moreover, our investments in technology have significantly enhanced the customer experience and the passion and perseverance of our dedicated team, are the driving force behind our ongoing success.

SRI LANKA'S ECONOMIC COMEBACK GAINS MOMENTUM

Sri Lanka's economy showed promising signs of recovery in the latter half of 2023 and early 2024 after navigating a period of significant challenges.

The resolution of the Domestic Debt Optimisation (DDO) by June 2023 played a key role in stabilising the financial sector and alleviating market stress. This resulted in a sharp decline in interest rates, with policy rates dropping by 700 basis points. Targeted monetary policy interventions successfully curbed inflation. This stability paved the way for positive economic growth in the following two quarters, with contributions from all sectors.

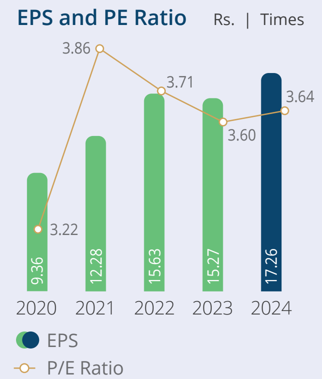
Factors such as a resurgence in tourism, increased migrant worker remittances, and IMF Extended Fund Facility assistance boosted foreign exchange liquidity, contributing to a 9% appreciation of the rupee. This positive momentum continued into the fourth quarter, with exports experiencing a notable surge.

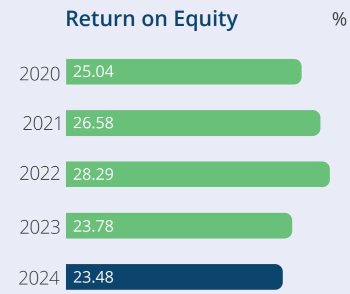
ADAPTING TO CHANGE

Our commitment to excellence drives us to consistently create positive change and foster growth for our stakeholders. Built on decades of experience, proven methods, and unwavering strength, we provide the tools and support needed to turn dreams into reality. Moreover, our dynamic approach ensures we consistently deliver exceptional results, even in the face of challenges.

Our proactive portfolio management, particularly our focus on short-term business activities enabled us to successfully navigate volatile interest rates. By repricing these assets/liabilities and maintaining a balanced approach, we mitigated risks and capitalised on opportunities in a year where interest rates fluctuated significantly. This strategy, crucial to our strong financial performance, underscores our commitment to a resilient and adaptable business model.

To our customers, we remained steadfast in our commitment to supporting and standing by them, particularly during





times of hardship. Recognising the challenges they faced, we continued to offer comprehensive assistance and financial guidance. This included partnering with our customers and providing tailored support, empowering them to navigate the digital landscape by enhancing their digital literacy and enabling seamless financial management through our CIM app.

Our commitment to corporate social responsibility (CSR) is deeply woven into the fabric of our operations. Through strategic partnerships and targeted investments, we address societal challenges in areas such as education, knowledge empowerment, environmental conservation, and community development. By leveraging our resources and expertise, we made a meaningful and lasting impact on the lives of individuals and communities during the year under review.

A COMMENDABLE PERFORMANCE

We are proud to report another year of exceptional performance, delivering increased value to our stakeholders through strong financial results, enhanced customer experiences, and unwavering commitment to responsible business practices.

The profit after tax reached Rs. 9.56 Bn. reflecting a 13.04% increase YoY in FY 2023/24.

Significant progress was made in enhancing asset quality during the year under review through improved credit underwriting practices, a vigilant approach to credit monitoring and robust recovery efforts, which resulted a decrease in impairment charge.

The tax liability reached Rs. 9.24 Bn. in 2023/24 due to the Company's strong financial performance during the current financial year and the full impact of tax reforms introduced in the second half of the previous financial year. Notably, we were the highest tax-paying NBFI (Non-Banking Financial Institution) in Sri Lanka making a substantial contribution to the national economy.

Moreover, we recorded a deposit growth of 7.72% YoY and maintained a fixed deposit renewal ratio of 81%. This is a testament to the Company's ability to retain existing customers and foster their ongoing trust. Furthermore, our lending portfolio grew by 11.09% YoY demonstrating the success of our volume-driven strategy in expanding our lending base.

Additionally, both Tier 1 and Total capital adequacy ratios improved in FY 2023/24 to 31.45% and 32.19% respectively demonstrating our financial stability and resilience against potential losses.

Our dedication to driving shareholder value is evident in the 8.86% CAGR growth in our balance sheet and a 14.46% YoY increase in shareholder funds, reaching Rs. 43.63 Bn. As a result, the Board is pleased to recommend a dividend of Rs. 5.75 per share (Interim of Rs. 2.25 per share and final of Rs. 3.50 per share), continuing our consistent dividend policy, which reflects a payout ratio of 33.31%. This demonstrates our commitment to rewarding our shareholders for their ongoing trust and support.

A LEGACY OF INTEGRITY

Strengthening our governance framework

For over half a century, we have prioritised good governance, adhering to not just regulatory requirements, but also voluntary standards and codes. This commitment proved particularly valuable in navigating the challenges of the pandemic and economic crisis, allowing us to demonstrate resilience and fulfil our promises to stakeholders. In response to recent external developments, including new listing rules and revised governance codes, the Board has intensified its focus on corporate governance, ensuring we remain adaptable and robust. While already largely compliant, we are addressing remaining gaps, particularly in preparation for upcoming mandatory sustainability reporting. The formation of a dedicated Board Sustainability Committee and the proactive efforts of other Board committees highlight our commitment to continuous improvement in governance and risk management.

BUILDING A SUSTAINABLE FUTURE

Looking ahead, we are committed to building on our achievements and solidifying our position as a leading NBFI. We are crafting a vibrant future filled with endless possibilities for all stakeholders, driven by innovative strategies and a dedication to exceeding expectations.

Accordingly, we will continue to invest in technology, prioritise customer-centric initiatives, and foster talent development, ensuring we deliver increasing value to our stakeholders. Recognising the importance of environmental sustainability and social responsibility, we are prioritising these initiatives, ensuring they are embedded in every aspect of our operations. The recent establishment of a dedicated Board Sustainability Committee formalises our commitment to these essential values. With this dedicated focus, we will continue to drive positive change for our communities, our planet, and our stakeholders.

A NOTE OF APPRECIATION

To conclude, I wish to express my sincere gratitude to the entire LB team for their unwavering commitment and dedication. Your loyalty to LBF's vision, even amidst challenging circumstances, is truly commendable. I am deeply grateful for the unwavering support and encouragement I receive from my fellow Board members.

A special thank you to the Governor of the Central Bank of Sri Lanka and the dedicated officials at the Department of Supervision of Non-Bank Financial Institutions for their invaluable guidance.

To our valued shareholders, customers, and all other stakeholders, your continued trust and partnership are the foundation of our success. We deeply appreciate you joining us on this journey and trust you will remain by our side as LBF strives for even greater heights in the years to come.

G A R D Prasanna
Chairman

27 May 2024